

Demand and Welfare

Session 4

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Where household surveys earn their keep for policy: what happens to whom when a price moves. Also: estimated demand functions can help solve a variety of measurement issues.

Introduction

Deaton is in your reading/ folder on the hub, or PDF.

- Deaton, chs. 4 (§4.2 on Engel curves) and 5 (all)
- Deaton & Muellbauer (1980), "An Almost Ideal Demand System," *AER* 70:312–326
- Lewbel (1991), "The rank of demand systems," *Econometrica* 59:711–730
- Ligon, "Household Welfare from Disaggregate Demands" (working paper) — the CFE system we estimate today

Engel's Laws and Curves

Engel may be the first to use household data in statistical analysis, and used household budget data from Belgium and Saxony to propound what is sometimes called "Engel's (first) Law":

"The greater the income, the smaller the relative percentage of outlay for subsistence."

Budget shares and Engel curves

Let $s_{ij} = p_j q_{ij} / x_i$ be household i 's budget share on good j , x_i total expenditure. The Working–Leser form,

$$s_{ij} = \alpha_j + \beta_j \log x_i + \gamma_j' z_i + u_{ij},$$

fits food shares remarkably well across countries and decades.

- Homothetic utility implies $\beta_{\text{food}} = 0$.
- $\beta_{\text{food}} < 0$ is Engel's law
- z_i : household size and composition, region, season
- Estimated by OLS, clustered on the EA

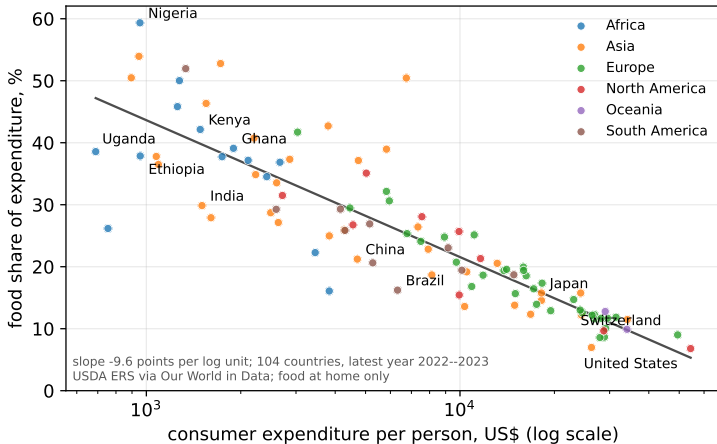
Engel's Second Law

A sort of corollary to the first law, sometimes translated as
"The proportion of the outgo used for food, other things being equal, is the best measure of the material standard of living of a population."

As a welfare measure, this solves some problems that the consumption aggregate has. In particular:

- Is a dimensionless share, so don't need to worry at all about price level, etc.
- If household size/scale can be expressed using Adult Equivalents A_i^θ , then those cancel also.
- Appears to be naturally comparable across time or place.

Engel's law across countries



One point per country, latest year.

Other Important Elements of Demand Estimation

Equivalence scales from behaviour

Session 3 *assumed* a scale A_i^θ . Demand analysis lets you estimate one.

- **Engel method:** two households are equally well off if they have the same food share. Scale = the expenditure ratio that equalizes it.
- **Rothbarth method:** use expenditure on adult goods (alcohol, tobacco, adult clothing) as the indicator instead.
- The two disagree, systematically and by a lot. Deaton ch. 4 explains why: the Engel method conflates the cost of a child with the child's effect on the household's needs for food specifically.

Prices, and where to get them (or not)

LSMS surveys may not carry reliable data on prices. They carry unit values, and unit values are contaminated by quality choice:

$$\log v_{ij} = \log p_j + \underbrace{\psi_j \log x_i}_{\text{quality}} + \epsilon_{ij}.$$

Deaton's solution exploits the design: *within a market*, all households face the same price. So

- regress log unit prices $\log v_{ij}$ on $\log x_i$ and household characteristics *with market fixed effects* to strip out quality;
- the cluster effects are the price variation you wanted.

This is the single best argument for caring about v in the index.

The rank of a demand system

Stack the Engel curves. The *rank* of a demand system (Lewbel 1991) is the dimension of the space spanned by the budget shares viewed as functions of total expenditure.

- rank 1: shares do not vary with x — homothetic
- rank 2: Working–Leser, AIDS
- rank 3: QUAIDS; Gorman's bound for exactly aggregable systems
- rank n : Constant Frisch Elasticity (CFE) (coming up)

Why you should care: **if the rank exceeds one, no single price index can deflate nominal expenditure so as to keep it monotone in utility when relative prices move.** Rank r needs r indices.

Constant Frisch Elasticity Demands

Constant Frisch Elasticity demands

Let λ_i be household i 's marginal utility of expenditure.
Frischian (λ -constant) demands take the CFE form

$$f_j(p, \lambda) = \left(\frac{\alpha_j}{\lambda p_j} \right)^{\beta_j}, \quad U(c) = \sum_j \alpha_j \beta_j \frac{c_j^{1-1/\beta_j} - 1}{\beta_j - 1}.$$

- β_j is the **Frisch elasticity** of demand for good j :
necessities small, luxuries large
- $\beta_j = \beta$ for all j gives CES; $\beta \rightarrow 1$ gives Cobb–Douglas
- unrestricted rank!

The estimating equation

Take logs of expenditure on good j . Writing $w_i \equiv -\log \lambda_i$,

$$\log x_{it}^j = a_t^j + \beta_j w_{it} + \gamma_j' d_{it} + \varepsilon_{it}^j.$$

This is a **one-factor model**. The $(it) \times j$ matrix of log expenditures, once good-time effects a_t^j and characteristics d_{it} are swept out, is rank one: loadings β , factor w .

- estimate by SVD of the residual matrix, with missing data
- d_{it} enters as good-specific *Barten scales*, not "independence of base" adult equivalents.
- needs **no prices** and **no total expenditure** — only expenditures on a subset of goods

$w = -\log \lambda$ as a welfare measure

The multiplier λ is the same marginal utility of expenditure we talked about in session 2, so it *falls* as a household gets better off. Hence $w = -\log \lambda$ is increasing in welfare.

- Comparable across households facing different prices — the prices are in a_t^j , not in w
- Comparable across household compositions — composition is in $\gamma_j' d$
- Derived from behaviour, not from an assumed equivalence scale or an assumed price index
- w is (minus) the partial derivative of indirect utility with respect to total expenditure: a genuine welfare object. It answers the question: for a 1% increase in budget, by what percent does utility increase?

Price Changes

Welfare consequences of a price change

How much money makes household i as well off at prices p^1 as it was at p^0 ? With an expenditure function $e(u, p)$,

$$CV_i = e(u_i^0, p^1) - e(u_i^0, p^0), \quad u_i^0 = v(x_i, p^0).$$

For a small change in the price of one good j , this is approximately

$$CV_i \approx q_{ij} \Delta p_j = s_{ij} x_i \frac{\Delta p_j}{p_j}.$$

- to first order you need only the *budget share* — no elasticities
- the distributional incidence follows from how s_{ij} varies with x_i , which is the Engel curve you already estimated
- the exact figure needs the demand system, and says how far the approximation can be trusted

Exercises

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1. The Working-Leser cell has Section 9A alone in its non-food denominator. (a) Interact `logx` with `Rural`: does the slope differ between urban and rural households? (b) Re-estimate on the 2012-13 wave, which has the same section: has β moved in five years? (c) Uganda's `nonfood_expenditures()` covers both the frequently and the infrequently purchased non-food. The table does not say which window each item was asked on; the questionnaire does (session 3's Uganda 2019-20 slide: 30 days for non-durables, 365 for semi-durables), and `uga.categorical_mapping['nonfood_items']` lists the items. Sort them, put both on one basis, and repeat the estimation for Uganda 2019-20. Is the share still flat over most of the distribution, and what happened to the composition coefficients? (d) The standard errors above